Cash Flows

	Year Ended December 31,	
	2024	2023
	(in thousands)	
Net cash used in operating activities	$ (63,860)	$ (30,222)
Net cash provided by (used in) in investing activities	2,118	(7,712)
Net cash provided by financing activities	287	640
Effect of foreign exchange rate changes on cash, cash equivalents, and restricted cash	(1,635)	200
Net decrease in cash, cash equivalents, and restricted cash	$ (63,090)	$ (37,094)

Operating Activities

Our largest sources of operating cash are cash payments received from customers for sales of our products. Our primary uses of cash from operating activities are for personnel and related expenses, selling and marketing expenses, and third-party professional fees. We have generated negative operating cash flows and have supplemented working capital through net proceeds from the sale of equity securities, including proceeds from our IPO in November 2021.

Net cash used in operating activities mainly consists of our net loss adjusted for certain non-cash items, including stock-based compensation, depreciation and amortization of property and equipment, impairment expense, inventory write-offs and write-downs, and changes in operating assets and liabilities during each year.

During 2024, net cash used in operating activities was $63.9 million, which consisted of a net loss of $93.3 million and a net decrease of $0.3 million in our operating assets and liabilities, partially offset by non-cash charges of $29.7 million added back to net loss. The change in operating assets and liabilities was primarily due to a decrease of $11.3 million for operating lease right of use assets and short-term and long-term lease liabilities as a result of retail store closures, partially offset by a decrease of $6.9 million in inventory as a result of lower on-hand inventory, a decrease of $2.0 million in accounts receivable due to timing of payments received, a decrease of $1.6 million in prepaid expenses and other current assets due to a decrease in tax and other receivables, and an increase of $1.0 million in accounts payable due to timing of payments made.

During 2023, net cash used in operating activities was $30.2 million, which consisted of a net loss of $152.5 million and a net decrease of $43.8 million in our operating assets and liabilities, partially offset by non-cash charges of $78.4 million added back to net loss. The change in operating assets and liabilities was primarily due to a decrease of $47.5 million in inventory due to lower inventory on hand.

Investing Activities

Net cash used in investing activities primarily relates to capital expenditures to support our growth and investment in property and equipment for expansion of our business, partially offset by proceeds from sale of businesses.

During 2024, net cash provided by investing activities was $2.1 million, which consisted primarily of $4.0 million of proceeds from the sales of certain of our international businesses and a decrease of $2.2 million in security deposits related to our closed retail stores, partially offset by $4.1 million cash outflows for the purchases of property and equipment to support the ongoing operations of our corporate development and retail stores.

Net cash used in investing activities in 2023 was $7.7 million, and consisted primarily of $10.9 million in cash outflows for the purchases of property and equipment to support the ongoing operations of our corporate development and retail stores, offset by $2.2 million of proceeds from the sales of certain of our international businesses.

Financing Activities

Net cash provided by financing activities in 2024 and 2023 was $0.3 million and $0.6 million, respectively, primarily due to net proceeds from the exercise of stock options and the issuance of common stock under the employee stock purchase plan, offset by taxes withheld on employee stock awards.